

CHAPTER 2

Your 90-Day Number

The first step in changing money habits is taking a cold hard look at your financial input and output. Before you can redirect your money into savings and investments, you have to stanch the outward flow. That means getting a handle on your spending. Here's what I want you to do: I want you to boil your money matters down to one simple number. It's going to be either a positive or a negative number, because money is black and white. There is no gray. You either have it or you don't.

To get started, read the instructions below and use the charts provided. This shouldn't take you more than half an hour.

I hear a lot of groans. You're thinking this is like homework and you're just going to skip this part and keep reading, am I right? No! Don't do that. That's a really bad idea. If you're serious about changing your financial status, you need to do a bit of work. Businesses do this quarterly. In fact, I spend thousands of dollars *a month* to keep track of my personal and corporate accounts. And I've done this with every business I've ever been part of. A lack of vigilance can mean a company is suddenly teetering on the edge of bankruptcy because it's not monitoring its numbers closely or often enough. It happens that fast. I've seen it. And it's a hard lesson to learn. I will never allow a lack of diligence to affect any of my business holdings, which is why I'm offering you this advice about knowing your numbers. And this applies as much to a business as it does to your personal finances: Ignorance costs you money, and it's totally avoidable.